Steep decline: On the Index of Industrial Production

Rural consumption remains poor despite the lowering of inflation

India's factory output **performance** measured monthly by the Index of Industrial Production (IIP) and released by the Ministry of Statistics and Program Implementation (MoSPI) **slowed** to an eight-month low of 2.7% in April, at the start of **fiscal** 2026. It also **marked** a steep decline, almost halving from last April's 5.2% growth. This **correlates with** the monthly **gauge** of the **eight core sectors** by the Ministry of Commerce and Industry, which **posted** a 0.5% growth in April, also an eight-month low. More significantly, it is a steep decline from last April's 6.9%. The eight core sectors **make up** about 40% of the **weight** of items included in the IIP. This comes **on the back of** a 4% growth in industrial output for the last fiscal, which was the lowest in the past four years. **Of particular** concern is the **contraction** in mining by 0.2%, the first since August 2024. While the absolute value of mining exports has risen in the past **decade** from $25 billion in FY15 to $42 billion in FY25, its share in exports has fallen from 8.1% to 5.1%. This still constitutes a **not-so-insignificant** share in India's overall goods exports at a time of great trade **volatility**. However, both manufacturing and power production also slowed to 3.4% (4.2%) and 1.1% (10.2%), respectively, in April.

While trade and tariff-related uncertainties are most likely to have impacted goods output, the continuing **contraction** in **consumer non-durables**' output for the third **consecutive** month **suggests** **persistently** low rural consumption, as **essentials** such as food **make up** a significant portion of consumer non-durables. This is a clear indication that despite retail inflation hitting an almost 6-year low at 3.16% in April, it has not translated into higher spending power for rural communities, where consumer non-durables have the most demand. Food prices **contracted** for the sixth **straight** month to 2.14%, which led to below MSP rates for most **staples** at mandis. The government must focus on raising rural incomes by implementing MSPs for farm produce more systematically. This would **aid** in increasing rural consumption. However, a **surge** in **capital goods** output to 20.3% in April, **albeit** from a low base, **indicates** confidence in the domestic economy as investors continue with their plans to diversify exports, attempting to **rely** less **on** the U.S. With trade-related sectors expected to continue to stay **volatile in the near-term**, the Centre must push the private sector to increase **capital expenditure at home**. This will increase incomes, and aid in raising consumption demand. Export-oriented sectors must also aim to **ring-fence** themselves from **tariff**, price and supply chain shocks by ensuring a **robust** domestic presence, while also **diversifying** outside the traditional export regions of the U.S. and the EU. **[Practice Exercise]**

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Steep** (adjective) – sharp, sudden, drastic, severe, abrupt तेजी से घटता-बढ़ता
2. **Fiscal** (adjective) – financial, budgetary, economic, monetary, revenue-related वित्तीय / राजकोषीय
3. **Mark** (verb) – signify, indicate, represent, denote, record दर्शाना
4. **Correlate** (with) (verb) – relate, connect, link, associate, correspond मेल खाना
5. **Gauge** (noun) – measure, indicator, scale, benchmark, standard मापदंड
6. **Eight core sector** (noun) – it refer to eight key industries in the Indian economy that are considered crucial for overall industrial growth and economic performance.
7. **Post** (verb) – register, record, show, report, log दर्ज करना
8. **Make up** (phrasal verb) – constitute, comprise, form, account for, include बनाना
9. **Weight** (noun) – importance, significance, proportion, value, influence भार / महत्व
10. **On the back of** (phrase) – following, as a result of, because of, subsequent to, due to के परिणामस्वरूप
11. **Of particular** (phrase) – especially, notably, mainly, significantly, importantly विशेष रूप से
12. **Contraction** (noun) – shrinkage, reduction, decline, downturn, dip गिरावट
13. **Decade** (noun) – Period of ten years दशक
14. **Not-so-insignificant** (adjective) – noticeable, moderate, meaningful, considerable, relevant उल्लेखनीय
15. **Volatility** (noun) – instability, unpredictability, fluctuation, turbulence, inconsistency अस्थिरता
16. **Consumer non-durable** (noun) – products that are used up quickly or have a short lifespan, typically lasting less than three years.
17. **Consecutive** (adjective) – successive, continuous, uninterrupted, sequential, following लगातार
18. **Persistently** (adverb) – continuously, constantly, repeatedly, steadily, unfailingly लगातार
19. **Essentials** (noun) – necessities, basic items, needs, staples, fundamentals आवश्यक वस्तुएं
20. **Contract** (verb) – shrink, decrease, decline, reduce, recede घट जाना

21. **Straight** (adjective) – uninterrupted, continuous, successive, unbroken, ongoing लगातार

22. **Staple** (noun) – main or important, especially in terms of consumption. मुख्य खाद्य वस्तु

23. **Aid** (verb) – help, assist, support, facilitate, promote मदद करना

24. **Surge** (noun) – rise, spike, increase, jump, upswing उछाल / तेजी

25. **Capital goods** (noun) – goods that are used in producing other goods, rather than being bought by consumers. पूंजीगत वस्तुएं

26. **Albeit** (conjunction) – although, though, even if, despite, notwithstanding यद्यपि

27. **Rely** (on) (verb) – depend on, trust, count on, use, based on निर्भर रहना

28. **Volatile** (adjective) – unstable, unpredictable, fluctuating, erratic, uncertain अस्थिर

29. **In the near term** (phrase) – soon, shortly, imminently, in the short run, in the immediate future निकट भविष्य में

30. **Capital expenditure** (noun) – money spent by a business or organization on acquiring or maintaining fixed assets, such as land, buildings, and equipment. पूंजीगत व्यय

31. **At home** (phrase) – within the country, domestically, inside the nation, locally, internally देश में

32. **Ring-fence** (verb) – protect, insulate, isolate, shield, safeguard सुरक्षित करना / अलग करना

33. **Tariff** (noun) – duty, tax, customs fee, levy, trade charge शुल्क

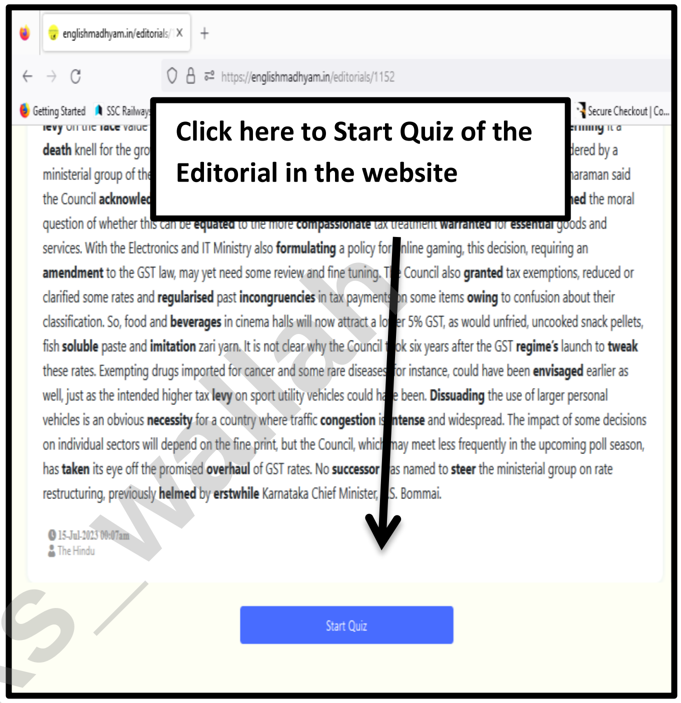
34. **Robust** (adjective) – strong, resilient, solid, sturdy, stable मजबूत

35. **Diversify** (verb) – expand, vary, broaden, spread out, branch out विस्तार करना

Summary of the Editorial

1. **IIP Growth Slows** – India's Index of Industrial Production (IIP) slowed to 2.7% in April 2025, an eight-month low and a sharp fall from 5.2% a year ago.
2. **Core Sector Weakness** – The eight core sectors grew by just 0.5% in April, also hitting an eight-month low, down from 6.9% in April 2024.
3. **Decline in Industrial Growth** – Industrial output grew by only 4% in FY25, the weakest performance in the last four years.
4. **Mining Sector Contracts** – Mining output contracted by 0.2% in April, the first decline since August 2024.
5. **Falling Export Share in Mining** – Though mining exports rose in value over a decade, their share in total exports fell from 8.1% to 5.1%.
6. **Manufacturing and Power Slowdown** – Manufacturing grew by 3.4% (vs. 4.2% last year) and power generation by just 1.1% (vs. 10.2%).
7. **Trade Uncertainties Impact Output** – Global trade and tariff uncertainties have affected goods output significantly.
8. **Rural Consumption Stagnant** – Consumer non-durables output contracted for the third consecutive month, indicating low rural consumption.
9. **Low Inflation, No Impact on Spending** – Despite inflation dropping to a 6-year low at 3.16%, rural spending hasn't improved.
10. **Food Price Deflation** – Food prices fell for the sixth straight month to 2.14%, causing mandi rates to stay below MSP levels.
11. **Need for MSP Reform** – The government should implement MSPs more systematically to raise rural incomes and boost consumption.
12. **Surge in Capital Goods Output** – Capital goods output jumped 20.3% in April, suggesting business confidence in domestic investment.
13. **Export Diversification Strategy** – Investors are trying to reduce dependence on the U.S. by diversifying export destinations.
14. **Private Sector Role Critical** – The Centre must encourage the private sector to raise capital expenditure domestically.
15. **Building Resilient Export Sectors** – Export sectors should strengthen domestic bases and reduce reliance on the U.S. and EU amid global trade shocks.

Practice Exercise: Banking Pattern Based



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